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Points to remember

- Transactions are recorded in the books of account with the help of source documents.
- There are two aspects involved in every business transaction namely debit and credit.
- Every debit has a corresponding and equal credit.
- Every credit has a corresponding and equal debit.
- Accounts can be classified into personal, real and nominal.
- Assets = Capital + Liabilities
- Transactions are first recorded in journal.

Golden rules of accounting:

Personal account	Debit the receiver	Credit the giver
Real account	Debit what comes in	Credit what goes out
Nominal account	Debit all expenses and losses	Credit all incomes and gains

Self-examination questions

I Multiple choice questions

Choose the correct answer:

AFK5M6

1. Accounting equation signifies

   (a) Capital of a business is equal to assets

   (b) Liabilities of a business are equal to assets

   (c) Capital of a business is equal to liabilities

   (d) Assets of a business are equal to the total of capital and liabilities

2. 'Cash withdrawn by the proprietor from the business for his personal use' causes

   (a) Decrease in assets and decrease in owner's capital

   (b) Increase in one asset and decrease in another asset

   (c) Increase in one asset and increase in liabilities

   (d) Increase in asset and decrease in capital

3. A firm has assets of ` 1,00,000 and the external liabilities of ` 60,000. Its capital would be

   (a) ` 1,60,000 (b) ` 60,000

   (c) ` 1,00,000 (d) ` 40,000